

FUND PROSPECTUS

Sun Life Capital Canadian Core Bond Fund

Date: January 2, 2025 | Ref: FUND-SLC-CBF-2025

Fund Type: Mutual Fund - Fixed Income

ISIN: CA82571L2029

Inception Date: September 1, 2008

Management Fee: 0.65% per annum

MER: 0.78% (trailing 12 months)

AUM: \$4.1 billion CAD

Benchmark: FTSE Canada Universe Bond Index

Duration Target: 6.0 - 8.5 years

Investment Objectives

The Sun Life Capital Canadian Core Bond Fund seeks to generate a stable income stream and preserve capital by investing primarily in a diversified portfolio of investment-grade fixed income securities issued by the Government of Canada, provincial governments, and Canadian corporations. The Fund aims to produce returns competitive with the FTSE Canada Universe Bond Index over rolling 4-year periods.

Portfolio Composition

The Fund invests across the full yield curve with a neutral duration close to the benchmark. The portfolio manager may vary duration by +/- 2.5 years from benchmark to express rate views. Credit quality must be investment-grade (BBB- or higher by S&P). Up to 20% of the portfolio may be invested in foreign investment-grade bonds on a CAD-hedged basis.

Current portfolio composition: Government of Canada bonds 38% | Provincial bonds 22% | Corporate investment-grade bonds 31% | Supranational / agency 6% | Foreign (CAD hedged) 3%.

Duration and Rate Risk

Duration is the primary risk measure for this Fund. A 1% rise in interest rates across the yield curve will result in an approximate 6.8% decline in the Fund's NAV (based on current duration of 6.8 years). The portfolio manager actively manages duration within the allowable range to balance income generation against rate risk. In the current environment with the Bank of Canada in an easing cycle, the portfolio manager has extended duration toward the upper end of the target range to benefit from falling yields.

Credit Quality

The Fund does not invest in high-yield or unrated securities. Current weighted average credit rating is AA-. Corporate bond exposure is diversified across 45 issuers in financial services, infrastructure, telecommunications, and consumer staples sectors. The Fund has zero exposure to commercial real estate backed securities and no direct exposure to US high-yield markets.

Risk Factors

- Interest Rate Risk: Rising interest rates will decrease the market value of fixed income securities.
- Credit Risk: Corporate bond issuers may be downgraded or default, reducing the value of those securities.
- Reinvestment Risk: When bonds mature or are called, proceeds may be reinvested at lower prevailing rates.

- Inflation Risk: Inflation erodes the purchasing power of fixed income returns over time.
- Liquidity Risk: Some corporate bonds, particularly lower-credit-quality issues, may be difficult to sell quickly at fair value.